The debates on the amendment of the Reserve Bank of India Act had clearly exposed the feelings of the parliamentarians on the nationalization of the Imperial Bank and the need for conducting a survey of rural credit in the country. The RBI accordingly convened in February 1951, an informal conference of cooperators, economists, and others, including the registrars of some of the states in order to define concretely the policy changes, procedural reforms, and other steps necessary for enlarging the volume of agricultural finance that passed from the bank to the cultivator through the co-operative credit system. It was one of the recommendations of this informal conference that led to the formation of the AIRCS committee in August 1951 consisting of A.D. Gorwala (Chairman), Professor D.R. Gadgil, B. Venkatappiah, and Dr N.S.R. Sastry as members, the last-named being the Member Secretary. B. Venkatappiah, had not only been a key member of the RBEC but was also strongly pro-nationalization. The Committee submitted its report three years later in December 1954.[18]

The recommendations of the Committee of Direction of the AIRCS for nationalization of the Imperial Bank and government's acceptance of the proposal were first made public by the Finance Minister, C.D. Deshmukh, at the Lok Sabha on December 20, 1954, during his speech on economic policy. The exercise was described by Deshmukh as 'one of the most comprehensive of its kind undertaken anywhere and without precedent at any rate in the so called under-developed countries'. The field enquiries conducted under the auspices of the RBI covered 1,27,343 families in 600 villages selected in seventy-five districts all over the country. 'Among the several proposals made by it were an integrated scheme of rural credit, major state partnership in cooperation and a sector of commercial banking, the creation of five national funds, and the formation of a national co-operative development and warehousing board. But by far the most important recommendation was the scheme of a State Bank of India by amalgamation of a number of banks including the Imperial Bank. The survey revealed that the private creditor—the professional moneylender, the agriculturist money-lender, and the trader—still reigned supreme in the field of rural credit, supplying 70 percent or more of the total requirements.'[19]

The most significant recommendation of the Committee, however, was the move toward the establishment of a State Bank of India with the